**IN THE UTAH SUPREME COURT**

ON WRIT OF CERTIORARI TO THE UTAH COURT OF APPEALS
No. 20170736-CA
Appeal from a Final Judgment of the Sixth Judicial District Court in and for Garfield County, Panguitch Department, The Honorable Paul D. Lyman Presiding, No. 154600013

**PUBLIC**

Case No. 20190320-SC

HOLLY REBECCA ROSSER,

*Petitioner on Certiorari, Appellee and Petitioner Below,*

*v.*

RONALD LEE ROSSER,

*Respondent on Certiorari, Appellant and Respondent Below.*

# PETITIONER'S OPENING BRIEF


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## INTRODUCTION

This appeal is from a contempt proceeding arising out of a divorce action. The district court adjudged Respondent Ron Rosser ["Ron"] in contempt of court for fraudulently inducing Petitioner Holly Rosser ["Holly"] to stipulate to a provision in their Decree of Divorce, which resulted in Holly being solely responsible for the parties' tax obligation of over $22,000. This was despite the parties agreeing at mediation that they would divide the tax obligation equally.

The Court of Appeals reversed the district court's judgment, holding that because Ron's misrepresentations were directed at Holly rather than the district court itself, they did not constitute contemptible "deceit" under Utah Code § 78B-6-301(4). However, this interpretation is not supported by either the plain text of the statute or by its context or purpose. Rather, these factors, as well as the case law of other jurisdictions and scholarly authority, support an interpretation that focuses not on who the deceit is communicated to, but rather whether the deceit interfered with the administration of justice, which Ron's deceit clearly did.

Moreover, The Court of Appeals reached this issue despite the fact that Ron did not raise the issue of whether his acts qualified as contemptible deceit before the district court or in his opening brief before the Court of Appeals. As such, the issue was improperly reached and is

reversible error. The Court should reverse the decision of the Court of Appeals and remand for further proceedings.

## STATEMENT OF THE ISSUES

In its Order of June 24, 2019,[1] this Court granted certiorari as to the following issues:

Issue One: Whether the Court of Appeals erred in its construction and application of Subsection 78B-6-301(4) of the Utah Code.[2] Background and Preservation. The district court found Ron in contempt "due to his deliberate deceit" by "knowingly and intentionally [misleading Holly] about his failure to pay the taxes he agreed to pay on June 16, 2016."[3] The Court of Appeals reversed the district court's decision, holding that the term "deceit" in Utah Code § 78B-6-301(4) ["Subsection (4)"] is limited to actions taken toward the court itself, and not toward another party.[4] Holly timely objected to the Court of Appeals' decision on this issue by raising it in her Petition for Writ of Certiorari,[5] thereby preserving the issue.

Standard of Review. This Court reviews the legal conclusions of the Court of Appeals for correctness.[6]

Issue Two: Whether the Court of Appeals erred in addressing the issue of the proper interpretation of Subsection 78B-6-301(4) of the Utah Code in light of the briefing

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[1] A copy of this order is included in the addendum—see infra at 55.

[2] As this statute is of central importance to this appeal, it is reproduced in its entirety in the addendum. See infra at 35.

[3] Infra at 52–53 (Dist. Ct. Ruling, Findings ¶ 16 & Conclusions ¶ 2) (R. at 1134–35).

[4] Infra at 42–43 (Op. at ¶ 14).

[5] Pet. Cert. at 1, 12–18 (filed Apr. 17, 2019).

[6] Harris v. ShopKo Stores, Inc., 2013 UT 34, ¶ 16, 308 P.3d 449.

on appeal. Background and Preservation. The Court of Appeals reversed the District Court's decision on the basis that Ron's acts did not fall within the scope of contemptible deceit under Subsection (4) as a matter of law. However, this issue was neither preserved in the district court, nor was it raised in Ron's opening brief on appeal. Moreover, the Court of Appeals did not give the parties notice that it would consider the issue sua sponte, did not order supplemental briefing on the issue, and did not analyze whether the issue was properly considered under an exception to the general rule of waiver in its opinion. As Holly had no notice of the Court of Appeals' action before its opinion was issued, she timely objected by raising it in her Petition for Writ of Certiorari,[7] thereby preserving the issue. Standard of Review. This Court reviews the Court of Appeals' application of the rules regarding preservation and waiver for correctness.[8]

## STATEMENT OF THE CASE

This case is a contempt proceeding arising out of a divorce action. After the divorce decree was entered on August 8, 2016,[9] Holly filed a motion for order to show cause on November 11, 2016, alleging that Ron had fraudulently induced her to stipulate to a term in the decree that was inconsistent with the parties' settlement agreement, and seeking her damages caused by Ron's deceit as well as her costs and attorney fees.[10] On

[7] Pet. Cert. at 1, 18–20.

[8] State v. Johnson, 2017 UT 76, ¶ 6, 416 P.3d 443.

[9] R. at 481–499.

[10] R. at 500–505.

January 3, 2017, Ron filed a cross-motion for order to show cause, alleging that he was entitled under the decree to certain rebate checks received by Holly and that she had failed to deliver them to him.[11]

The district court conducted an evidentiary hearing on the matters raised in these motions on August 17, 2017.[12] On August 28, 2017, the district court issued a written ruling finding Ron in contempt "due to his deliberate deceit," finding that Holly was not in contempt, and awarding judgment for Holly.[13] On September 6, 2017, the district court entered a

supplemental judgment for Holly's costs and attorney fees.[14] Ron appealed these judgments on September 1 and 22, 2017.[15]

After receiving the parties' briefs and hearing oral argument, on January 10, 2019, the Court of Appeals issued an opinion reversing the district court's order on grounds that the acts that the district court found that Ron committed did not constitute "deceit, or abuse of the process or proceedings of the court"[16] or "disobedience of a lawful judgment, order or process of the court" under Utah Code § 78B-6-301(4)–(5).[17] On February 14,

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[11] R. at 528–530.

[12] R. at 1129 (minutes of hearing); 1267–1404 (transcript of evidentiary hearing).

[13] Infra at 49–54 (R. at 1131–1136).

[14] Infra at 55 (R. at 1210).

[15] R. at 1152, 1229.

[16] Infra at 42–44 (Op. at ¶¶ 13–16).

[17] Infra at 44–46 (Op. at ¶¶ 17–20).

2019, the Court of Appeals amended the opinion to clarify an ancillary issue.[18] Holly petitioned this Court for certiorari review on April 17, 2019, which this Court granted in an order dated June 24, 2019.[19]

## FACTUAL BACKGROUND

The following are the facts material to the issue presented, recited "from the record in the light most favorable to the findings of the trial court" as required by the procedures of this Court.[20]

After twenty-five years of marriage, Holly and Ron separated in 2014, and Holly later petitioned for divorce.[21] After filing cross-petitions

for divorce in the district court,[22] the parties attended mediation and executed a settlement agreement on June 16, 2016.[23] Paragraph 15 of that settlement agreement provided that the parties would split their 2015 debt to the IRS agreement equally.[24] At that time, the parties owed $29,901.71 to the IRS for their business and personal taxes for

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[18] Infra at 48 (Op. at ¶ 21 n.9).

[19] Infra at 55.

[20] See State v. Moosman, 794 P.2d 474, 476 (Utah 1990).

[21] Infra at 37 (Op. at ¶ 2).

[22] R. at 1–7, 15–30.

[23] Infra at 50 (Dist. Ct. Ruling, Findings ¶ 1) (R. at 1132); R. at 398– 400 (settlement agreement).

[24] Infra at 50 (Dist. Ct. Ruling, Findings ¶ 4) (R. at 1132); R. at 399 ("IRS debt from 2015, 50% Ron and 50% Holly.").

2015.[25] Holly paid her half of the 2015 IRS debt shortly after mediation.[26]

Ron's counsel then prepared proposed findings of fact and conclusions of law and a proposed decree of divorce.[27] However, instead of providing that the parties were to split their 2015 IRS debt equally, the proposed decree provided that Holly "shall pay all fees charged by" the tax preparer, and she "shall be solely entitled to receive any refund resulting from the amended returns, and shall also be responsible to pay any tax liabilities resulting to any of the parties for the year 2015."[28] This was because after mediation, the parties decided to file an amended return for 2015, which would result in a $7,900.00 refund, provided that each party

had paid his or her half of the IRS debt.[29] Holly agreed to pay the tax preparer's fee in exchange for receiving the entirety of the refund.[30] Thus, Holly's counsel approved the proposed findings and decree, including the changed provision for the 2015 tax debt,[31] and the district court signed and entered the findings and decree on August 8, 2016.[32] The

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[25] Infra at 50 (Dist. Ct. Ruling, Findings ¶ 5) (R. at 1132); R. at 569 (tax bill from IRS dated June 6, 2016).

[26] Infra at 50 (Dist. Ct. Ruling, Findings ¶ 7) (R. at 1132).

[27] R. at 427–461.

[28] R. at 453–454 (Paragraph 9.r).

[29] Infra at 50 (Dist. Ct. Ruling, Findings ¶ 8) (R. at 1132).

[30] R. at 885 (July 29, 2016 email from Ron's counsel stating, "if Holly is willing to pay the $914.59 (or whatever the exact amount of the Precise bill will be for the amended return), then I think I can get Ron to agree to let Holly keep the tax refunds"); R. at 1301 (Transcript, Hearing of Aug. 17, 2017, 35:7–19 (Testimony of Holly Rosser)).

[31] R. at 403–426.

[32] R. at 462–499.

parties then signed and filed the amended tax return on August 22, 2016.[33] However, Holly later found out that despite what he had led her to believe, Ron had not paid his half of the 2015 IRS debt.[34] Instead of receiving a $7,900.00 refund, Holly had to pay an additional $7,194.98.[35]

## COURSE OF PROCEEDINGS IN DISTRICT COURT

After receiving this tax bill, Holly filed a motion for order to show cause on November 11, 2016,[36] alleging as follows:

> In the foregoing circumstances, [Ron] has defrauded [Holly]. [Ron] knowingly made a material misrepresentation as to a presently existing fact. To wit: that he had theretofore paid his $14,951.11 share of the 2015 tax bill. Such representation was material and was made with malice for the purpose of inducing [Holly] to settle on those terms. [Holly] reasonably relied upon the misrepresentation to her detriment.[37]

Holly requested her damages caused by Ron's deceit as well as her costs and attorney fees.[38] Despite the allegation of deceit and fraud in Holly's Motion for Order to Show Cause, Ron did not argue at any time before

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[33] R. at 1017.

[34] Infra at 51–52 (Dist. Ct. Ruling, Findings ¶¶ 10–16) (R. at 1133–34).

[35] R. at 577 (tax bill from IRS dated Oct. 10, 2016).

[36] R. at 500–503.

[37] R. at 502.

[38] R. at 502–503.

the district court that Holly's allegation of fraud did not constitute contemptible deceit under Subsection (4), either at a hearing transcribed and included in the record[39] or in any written submission.[40]

Additionally, on December 1, 2016, Holly received rebate checks from IPC that belonged to Ron under the Decree.[41] Holly retained possession of these checks to secure payment for the amounts she believed she was owed for the 2015 taxes.[42] On January 3, 2017, Ron filed a crossmotion for order to show cause, alleging that he was entitled under the

decree to certain rebate checks received by Holly and that she had failed to deliver them to him.[43]

After some procedural wrangling,[44] the district court conducted an evidentiary hearing on the matters raised in the parties' respective motions for order to show cause on August 17, 2017.[45] On August 28, 2017, the district court issued a written ruling, finding in relevant part: 5. The parties had received an IRS notice dated June 6, 2016, which

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[39] The transcripts for hearings held between Holly's Motion for Order to Show Cause and Ron's Amended Notice of Appeal are located at R. at 809–846, 1257–1422.

[40] Ron's written submissions to the Court filed between Holly's Motion for Order to Show Cause and Ron's Amended Notice of Appeal are located at R. at 517–22, 538–46, 548–50, 620–51, 682–702, 733–798, 911–1025, 1053– 1109, 1115–28, 1152–86, 1195–1201, 1217–21, and 1224–30.

[41] R. at 600–603.

[42] R. at 583.

[43] R. at 528–530.

notified them that they owed $29,902.21 for unpaid 2015 taxes. 6. The parties agreed [in Paragraph 15 of the June 16, 2016

mediation agreement] to each pay one half of that debt, or

$14,951.11. 7. [Holly] paid her share of $14,951.11 within days of reaching the

settlement agreement. 8. The parties intended on June 16, 2016 to file an Amended 2015 tax

return, which would result in [Holly] receiving a $7,900.00 tax

refund, which would only happen if they each paid their share of

the [] $29,902.21 in taxes.

9. [Holly] assumed she would receive the $7,900.00 refund from the

Amended 2015 tax return, so she approved the amended tax

return. 10. At no point did [Ron] tell [Holly] that he had failed to pay his $14,951.11 tax obligation. 11. Both [Holly] and [the parties'] accountant relied upon [Ron] having paid his $14,951.11. 12. [Ron] knew he would eventually be found out, but chose to let his deception go forward. 13. Consequently, [Holly] did not receive the

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[44] The district court initially ruled in Holly's favor on the grounds that the undisputed material facts established his contempt (R. at 604, 705–719). In an attempt to vacate this ruling and present evidence at an evidentiary hearing, Ron filed a motion for reconsideration (R. at 623–640), a Rule 59 motion for new trial (R. at 733–746), and a Rule 60(b) motion to set aside (R. at 747–758). In addition to opposing these motions, Holly filed a Rule 56 motion for summary judgment dismissing Ron's motions (R. at 1029–1043). These motions were disposed of in the district court's order of July 25, 2017 setting aside its previous order of contempt and granting an evidentiary hearing (R. at 1118–1119).

[45] R. at 1129 (minutes of hearing); 1267–1404 (transcript of evidentiary hearing).

agreed-upon $7,900.00 refund and she eventually had to pay an additional $7,174.98 in taxes to the IRS. 14. [Holly] had to pay the additional $7,174.98 because on August 4, 2016, the parties entered into a Stipulated Motion For Entry of Findings of Fact and Conclusions of Law and Final Decree of Divorce, which required [Holly] to pay any remaining tax liabilities for 2015, which she assumed was zero. 15. At the time this Stipulated Motion was filed, only [Ron] knew he had failed to pay the obligation agreed to on June 16, 2016. 16. After listening to the parties at trial it was evident that [Ron] knowingly and intentionally misled [Holly] about his failure to pay the taxes he agreed to pay on June 16, 2016.[46]

Based on these findings, the district court concluded that Ron was in contempt "due to his deliberate deceit and failure to act as agreed between the parties" in the mediation agreement.[47] The district court further concluded that despite not paying the rebates as required by the decree, Holly was not in contempt "due to her being victimized by [Ron's]

deceit."[48] The district court then awarded judgment for $15,074.98 in damages to Holly, plus her reasonable costs and attorney fees (which the Court found she was entitled to because they "would not have been incurred if [Ron] had not been

[46] Infra at 50–52 (Dist. Ct. Ruling, Findings ¶¶ 1, 5–16) (R. at 1132– 1134).

[47] Infra at 53 (Dist. Ct. Ruling, Conclusions ¶ 2) (R. at 1135).

[48] Infra at 52–53 (Dist. Ct. Ruling, Findings ¶¶ 20–23 & Conclusions ¶ 1) (R. at 1134–35).

deceitful"),[49] and less the amount of the rebates owing to Ron.[50] On September 6, 2017, the district court entered a supplemental judgment for Holly's costs and attorney fees in the amount of $17,870.00.[51]

## PROCEEDINGS IN AND DISPOSITION BY COURT OF APPEALS

On appeal before the Court of Appeals, Ron did not raise the issue of whether the facts found by the district court constituted contemptible deceit under Subsection (4).[52] Instead, in the portion of his opening brief dealing with fraud and deceit, Ron appeared to assume that deceit toward Holly is contemptible, and only addressed whether the evidence supporting his deceit was sufficient for the district court to find fraud by clear and convincing evidence.[53] The first time Ron distinguished between

regular fraud and contemptible deceit was in his reply brief.[54] Notwithstanding the fact that the issue was first raised in Ron's reply brief, and without giving notice or an opportunity for supplemental briefing, the Court of Appeals considered and decided the issue of whether Ron's deceit toward Holly was contemptible deceit under Subsection (4).[55]

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[49] Infra at 53 (Dist. Ct. Ruling, Findings ¶ 23 & Conclusions ¶ 4) (R. at 1135).

[50] Infra at 54 (Dist. Ct. Ruling, Judgment ¶¶ 1–3) (R. at 1136).

[51] Infra at 55 (R. at 1210).

[52] Br. Appellant, 1–3 (Feb. 18, 2018) (outlining the issues raised on appeal).

[53] Br. Appellant, 12–14 (Point II of Argument section).

[54] Reply Br. Appellant, 9–11 (Point II.B. of Argument section).

[55] Infra at 42–44 (Op. at ¶¶ 13–16).

In interpreting this statute, the Court of Appeals did not rely on any past Utah cases interpreting this statute or statutes with similar language, nor did it rely upon case law from other jurisdictions or authoritative scholarship on the issue. (As no supplemental briefing had been ordered, Holly was not in a position to provide case law and other authority at that time.) Rather, it concluded that since "the entire thrust of the subsection is aimed at allowing a court to penalize deceitful misuse of judicial proceedings by parties to those proceedings," the term "deceit" must be limited to actions taken toward the court itself, and not toward another party.[56] The Court of Appeals concluded that since "the deceit the [district] court described in its findings" committed upon Holly rather than upon the court, it was not contemptible deceit under the statute, and the district court erred in holding Ron in contempt on those grounds.[57]

## SUMMARY OF ARGUMENT

This matter can be decided on one of two grounds—the Court can either decide the question of the proper interpretation of Subsection (4) on its merits, or it can reverse the Court of Appeals' decision as improperly reached, as the issue decided was never before it.

Point I of the Argument details how the Court of Appeals' interpretation of Subsection (4) as only applying to deceit communicated directly to a court is not supported by either the plain text of the statute or by its context or purpose. Rather, these

[56] Infra at 42–43 (Op. at ¶ 14).

[57] Infra at 42, 47 (Op. at ¶¶ 13 & 21).

factors, as well as the case law of other jurisdictions and scholarly authority, support an interpretation that focuses not on who the deceit is communicated to, but rather whether the deceit interfered with the administration of justice. This is similar to a related principle in Utah law: the Fraud on the Court doctrine, which distinguishes between ordinary fraud and fraud that defiles the court, interferes with the administration of justice, or hinders a party from presenting its claim or defense. Courts in several jurisdictions have noted that fraud on the court is grounds for contempt, and this Court should adopt this reasoning.

Point II of the Argument points out that the issue of the proper interpretation of Subsection (4) was neither preserved in the lower court or raised in Ron's opening brief, and discusses the circumstances in which an appellate court may rule on such an issue. There were no exceptions that applied to allow the Court of Appeals to raise the issue sua sponte, but even if there were, the procedural requirements for raising the issue

were not followed, making the Court of Appeals' decision improper and reversible error. For either of these reasons, the Court should reverse the decision of the Court of Appeals and remand to determine any properly raised outstanding issues in the original appeal.

## ARGUMENT

### I. THIS COURT SHOULD REVERSE THE COURT OF APPEALS' DECISION AND HOLD THAT THE SCOPE OF CONTEMPTIBLE DECEIT UNDER SUBSECTION (4) IS EQUIVALENT TO THAT OF THE DOCTRINE OF FRAUD ON THE COURT.

The first issue certified for review by this Court is the proper construction and application of Subsection (4). Subsection (4) is part of Utah Code § 78B-6-301, which lists a number of acts or omissions constituting contempt, and provides, in relevant part:

> The following acts or omissions in respect to a court or its proceedings are contempts of the authority of the court: . . .
>
> (4) "deceit, or abuse of the process or proceedings of the court, by a party to an action or special proceeding[.]

As explained supra in the Statement of the Case, the Court of Appeals interpreted Subsection (4) to mean that a "deceit" is only contemptible if it is directed toward the court itself, and not toward another party or person. However, Holly believes that this interpretation is in error. As the proper interpretation or Subsection (4) and the proper scope of a district court's power to hold a party in contempt for fraud or deceit is a question of first impression for this Court,[58] Holly will review

> the language of the statute, its context and purpose, case law from other jurisdictions, Utah cases interpreting statutes with similar language or similar principles of law, and authoritative scholarship on the issue[59] to demonstrate that contemptible deceit under Subsection (4) includes fraud directed toward the opposing party that

[58] See Pet. Cert. at 13–14.

prevents or hinders that party from presenting its claim or defense.

### *A. The plain text of Subsection (4) does not support the Court of Appeals' interpretation.*

In interpreting a statute, this Court begins by looking at its text.[60] To be a contemptuous act or omission under Subsection (4), the act or omission must fulfill three requirements: first, it must constitute "deceit" or "abuse of the process or proceedings of the court," second, it must be "by a party to an action or special proceeding," and third, it must be "in respect to a court or its proceedings." While the meaning of "party" is obvious and uncontroversial (at least in the context of this case), the analysis of Subsection (4) could benefit by defining the other terms in the above requirements:

• "Deceit" is broadly understood to be synonymous with fraud or willful misrepresentation.[61] • "Abuse of process" is the malicious use of legal process "primarily to accomplish a purpose not within the scope of the proceeding for which it was designed."[62] • "In respect to" means concerning, regarding, related to

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[59] See Park v. Stanford, 2011 UT 41, ¶ 13, 258 P.3d 566 ("To assist in our determination of an issue of first impression, we often look to guidance from other jurisdictions as well as authoritative materials.").

[60] Otter Creek Reservoir v. New Escalante Irrigation Co., 2009 UT 16, ¶ 14, 203 P.3d 1015.

[61] See Bennett v. Jones Waldo Holbrook & McDonough, 2003 UT 9, ¶ 74, 70 P.3d 17 (defining the tort of deceit as equivalent to common-law fraud); Van de Grift v. State, 2013 UT 11, ¶ 13, 299 P.3d 1043 (holding that "deceit" under Utah Code § 63G-7-301(5)(b) refers to the common-law tort of deceit); Black's Law Dictionary 435 (8th ed. 2004) (defining "deceit" as "a false statement of fact made by a person knowingly or recklessly . . . with the intent that someone else will act upon it").

[62] Bennett, 2003 UT 9, at ¶ 47.

or in

connection with.[63]

Moreover, the language of Subsection (4) does not include an object that the deceit or abuse of process must be directed toward. Thus, contra the Court of Appeals' interpretation, the plain text of Subsection (4) seems to provide that a party to an action or special proceeding who makes a willful misrepresentation in connection with that proceeding is in contempt of court, regardless of who that misrepresentation is directed toward.

### *B. The context and purpose of Subsection (4) does not support the Court of Appeals' interpretation.*

To be fair, the Court of Appeals seems to recognize that the plain text of Subsection (4) does not support its interpretation, as it states that it reached that interpretation after "reviewing the provision in context."[64] Holly agrees that context is a valuable tool in interpreting Subsection (4)—in interpreting statutes, courts should consider the language of statutes in light of "the purpose of the statute and what interpretation and application will best serve that purpose in practical operation."[65] However, because the Court of Appeals' interpretation does not serve the purpose of the statute in practical operation, it should be rejected in favor of an interpretation that is

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[63] Merriam-Webster Online Dictionary, https://www.merriam- webster.com/dictionary/in respect to (last visited Aug. 27, 2019); Merriam- Webster Online Thesaurus, https:// www.merriam-webster.com/thesaurus/in respect to (last visited Aug. 27, 2019).

[64] Infra at 42–43 (Op. at ¶ 14).

[65] ASC Utah, Inc. v. Wolf Mountain Resorts, L.C., 2010 UT 65, ¶ 17, 245 P.3d 184.

consistent with the purpose of punishing misuse of judicial proceedings and hindering the administration of justice.

In its opinion, the Court of Appeals cites portions of its language to conclude that "the entire thrust of the subsection is aimed at allowing a court to penalize deceitful misuse of judicial proceedings by parties to those proceedings."[66] However, even if one accepts that the purpose of Subsection (4) is to prevent deceitful misuse of judicial proceedings, it does not follow that Subsection (4) "must be interpreted to include only deceit committed on the court"[67] unless one makes the assumption that a party can only misuse judicial proceedings by deceiving the court. This is simply untrue.

In Utah, judges often direct one of the parties to draft proposed orders, judgments and decrees for the court's signature.[68] Of course, this creates an opportunity for the party preparing the order to subtly (or at times, blatantly) draft the provisions of the order in a way that advantages that party. Despite that opportunity for mischief, judges do not usually painstakingly review proposed orders to ensure their provisions conform to prior stipulations of the parties or the court's decisions. Rather, they largely rely upon the other parties to do that work for them through the procedures of approval as to form and objections.[69] This system of giving the parties primary responsibility for detecting and raising errors in orders, judgments and decrees is a part of the adversarial system of

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[66] Infra at 42–43 (Op. at ¶ 14).

[67] Infra at 41 (Op. at ¶ 13).

[68] See Utah R. Civ. P. 7(j)(2); Utah R. Civ. P. 58A(c)(1).

[69] See Utah R. Civ. P. 7(j)(3)–(4); Utah R. Civ. P. 58A(c)(2)–(3).

justice, and is essential to judicial economy.[70] However, the system also allows a party to obtain an order by deceit without directly deceiving the judge. Because the Court of Appeals' assumption that a party can only misuse judicial proceedings by deceiving the court is not valid, it follows that the Court of Appeals' conclusion that

> Subsection (4) includes only deceit committed on the court must be rejected.

However, this is not to say that, as suggested by the plain text of Subsection (4), any party who makes a willful misrepresentation in connection with a judicial proceeding is in contempt of court. As Subsection (4) is a statute defining contempt of court, the deceit that Subsection (4) includes should be those that fit within the general definition of contempt: "disobedience to, disregard of, interference with, or disrespect of the court, by acts in opposition to its authority and the administration of justice, hindering, impeding, embarrassing, or obstructing the court in the discharge of its duties,"[71] including conduct "calculated to intimidate, influence, impede, embarrass, or obstruct the courts in the due administration of justice in matters pending before them."[72] With that in mind, it is clear that not all deceits are contemptible. Rather, a deceit is contemptible if it impedes the court's authority and its function of the administration of justice. This is reflected in the rule in most jurisdictions that perjury does not constitute contempt of court unless the

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[70] See Johnson, 2017 UT 76 at ¶ 8.

[71] 17 Am. Jur. 2d Contempt § 2 (Rev. ed. 2019).

[72] Herald-Republican Publishing Co. v. Lewis, 129 P. 624, 633 (Utah 1913) (Frick, J., concurring).

perjury operates to obstruct the judicial process.[73]

### *C. The text and context of Subsection (4), as well as the case law from other jurisdictions, related principles of Utah law and scholarly writings support an interpretation of Subsection (4) equivalent to that of the Fraud on the Court doctrine.*

As demonstrated supra, rather than deciding whether a party's misrepresentation is contemptible based on who the misrepresentation is communicated to, it is more consistent with the context of Subsection (4) and the general definition of contempt to focus on whether the misrepresentation interfered with the administration of justice. However, rather than creating an entirely new set of doctrines from scratch to govern Subsection (4), the Court should consider importing the jurisprudence from the related doctrine of Fraud on the Court, which is well established in Utah law.

The Fraud on the Court doctrine is part of the jurisprudence for setting aside a judgment. Under Rule 60(b) of the Utah Rules of Civil Procedure, a party may set aside a judgment on the basis of "fraud . . . , misrepresentation or other misconduct of an opposing party,"[74] but the party must file a motion seeking that relief not later than 90 days after the entry of the judgment.[75] However, a party may file an independent action to set aside a judgment for "fraud upon the court" outside of the 90day time limit.[76] Fraud on the court is narrower than ordinary fraud

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[73] J.A. Bock, Annotation, Perjury or False Swearing as Contempt, 89 A.L.R.2d 1258, § 2 (1963, rev. ed 2019).

[74] Utah R. Civ. P. 60(b)(3).

[75] Utah R. Civ. P. 60(c).

[76] Utah R. Civ. P. 60(d).

between the parties—it requires an "unconscionable scheme calculated to interfere with the judicial system's ability impartially to adjudicate a matter by improperly influencing the trier or unfairly hampering the presentation of the opposing party's claim or defense."[77] It also includes any "intentional act by a party in a divorce action which prevents the opposing party from making a full defense,"[78] including deceiving a party or concealing relevant facts from a party if the deception hinders the party's ability to present its case.[79]

This interpretation of contemptible deceit as equivalent to fraud on the court is consistent with the decisions of other jurisdictions. Federal courts have recognized that "the commission of a fraud on the court can form the basis for a finding of contempt."[80] This conclusion by the federal

courts is also supported by case law from other jurisdictions and treatises on the

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[77] Cobell v. Norton, 226 F. Supp. 2d 1, 24 (D.D.C. 2002), vacated on other grounds, 334 F.3d 1128 (D.C. Cir. 2003); see Kartchner v. Kartchner, 2014 UT App 195, ¶ 26, 334 P.3d 1.

[78] Kartchner, 2014 UT App 195 at ¶ 27.

[79] Cobell, 226 F. Supp. 2d at 28 (noting that a false representation to a party is contemptible "fraud on the court" when it hinders the party's ability to present its case); see also Kartchner, 2014 UT App 195 at ¶ 27 n.9 (dismissing as without merit a party's argument that misleading the other party is not conduct directed at the court and is therefore not fraud on the court).

[80] Cobell, 226 F. Supp. 2d at 26 (citing cases); see Aoude v. Mobil Oil Corp., 892 F.2d 1115, 1119 (1st Cir. 1989) (holding that federal courts have inherent power to punish "fraud on the court" (as defined in Cobell) as part of their inherent power "to do whatever is reasonably necessary to deter abuse of the judicial process").

subject.[81]

Moreover, it appears that nine states currently have statutory provisions similar to Subsection (4) in their laws,[82] and that two states previously had a similar provision sometime in the past.[83] While Holly has not found any case from these jurisdictions that is "on all fours" with the issue presented in this case, the case law generally seems to

emphasize that the misrepresentation interfered with the administration of justice rather than who the misrepresentation was communicated to.[84]

For example, In the New York case of Fass & Wolper v. Burns, the defendant, upon having a judgment entered against him, sought a stay of execution against his assets.[85] Defendant's request was granted without objection and without the imposition of

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[81] See, e.g., Rockdale Mgmt. Co. v. Shawmut Bank, 683 N.E.2d 29, 31 (Mass. 1994) (holding that when a fraud on the court (defined similarly to that in Cobell) is committed in an ongoing case, "the trial judge has the inherent power to take action [and] broad discretion to fashion a judicial response warranted by the fraudulent conduct"); State v. Moquin, 191 A.2d 541 (N.H. 1963) (holding that municipal courts had authority to punish fraud on the court as contempt, as all courts have the duty "to protect the judicial processes from being brought into disrepute and to act vigorously when confronted with acts or conduct which tend to obstruct or interfere with the due and orderly administration of justice"); 17 C.J.S. Contempt § 42 (Rev. ed. 2019) ("Willful abuse of legal process, such as instituting, or procuring the institution of, unauthorized or fictitious proceedings or suits, or obtaining court orders by fraud or deceit, provided the other party is prejudiced thereby, is contempt.").

[82] Ala. Code § 12-1-8(4); Alaska Stat. § 9.50.010(4); Idaho Code Ann. § 7-601(4); La. Code Civ. Proc. Ann. art. 224(4); Mich. Comp. Laws § 600.1701(d); Minn. Stat. § 588.01(3)(2); Mont. Code Ann. § 3-1-501(1)(d); N.Y. Jud. Ct. Acts Law § 753(a)(2); Wyo. R. Crim Proc. 42(a)(2)(B).

[83] Cal. Civ. Proc. Code § 1209(a)(4) (repealed 1907 ch. 255, § 1); Ore. Rev. Stat. § 33.010 (repealed 1991 c. 724, § 32).

any express conditions.[86] During the pendency of that stay, the defendant made an assignment of his assets for the benefit of creditors.[87] The court found that when a defendant seeks a stay, "he impliedly agrees, in consideration of the favor so extended to him, that he will not, during the pendency of the stay, transfer or dispose of his assets or otherwise disturb the status quo."[88] The court further stated that both it and the plaintiff were entitled to rely

upon that implied promise, and the act of assigning assets for the benefit of creditors during a stay constitutes contempt, as it "is a fraud and deceit, as well as an abuse of a mandate or proceeding of a court within the meaning of [the analog of Subsection (4)."[89]

Likewise, in the Michigan case of In re Contempt of Black, attorney David Black

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[84] See, e.g., United States v. Talbot, 133 F. Supp. 120, 127–28 (D. Alaska Terr. 1955) (holding that to punish perjury as contempt under Alaska's analog to Subsection 4, "the matter which is falsely given must be material to the matter before the court, and . . . there must be the element of obstruction of the court in the administration of justice"); Ex Parte Acock, 23 P. 1029, 1030 (Cal. 1890) (holding that "the acts of petitioner" in deceiving a sheriff to obtain property held by the sheriff for the court "were contempts within the meaning of" statute defining deceit as contempt); 21 N.Y. Jur. 2d Contempt § 21 (Rev. ed. 2019) (noting that "filing a false affidavit may constitute contempt," but "false statements in an affidavit do not constitute contempt where the statements are immaterial to any questions in the case or where the rights or remedies of the other party have not been defeated, impeded, or prejudiced").

[85] Fass & Wolper, Inc. v. Burns, 177 Misc. 430, 430 (N.Y. Sup. Ct 1941).

[86] Id.

[87] Id.

[88] Id. at 431–32.

[89] Id. at 432.

called opposing counsel and represented that he would be late for a 10:00 hearing and would not be there before 11:00, and that he had already contacted the trial court.[90] However, despite this representation, Black had not contacted the court and timely arrived at the hearing.[91] In reliance upon Black's representation, opposing counsel did not arrive for the hearing until 10:45.[92] Opposing counsel explained Black's representations to the trial court, but Black denied making those representations.[93] The trial court found Black in contempt for making false representations to opposing counsel as well as deliberately lying to the court.[94] The Michigan Court of Appeals upheld the trial court's contempt ruling.[95]

The facts of the present case clearly show a deception that interferes with the administration of justice and that fits nicely into Utah's Fraud on the Court doctrine. The district court found that Ron engaged in a deliberate course of deception to obtain a court order by inducing Holly to sign a stipulation rather than enforce the terms of the mediation agreement with the court. This is an intentional act by a party that prevents the opposing party from making a full defense and a deceitful misuse of judicial proceedings. It is therefore contemptible deceit under Subsection (4).

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[90] In re Contempt of Black, No. 285330, 2009 WL 3014938, at *1 (Mich. App. Sept. 22, 2009).

[91] Id.

[92] Id.

[93] Id.

[94] Id. at *1–2.

[95] Id. at *2–3.

## II. THIS COURT SHOULD REVERSE THE DECISION OF THE COURT OF APPEALS BECAUSE THE PROPER INTERPRETATION OF SUBSECTION (4) WAS NOT PROPERLY BEFORE IT.

As explained supra in the Statement of the Case, Ron did not raise the issue of whether Ron's fraud was contemptible deceit under Subsection (4) either before the district court or in his opening brief.[96] "When a party fails to raise and argue an issue in the trial court, it has failed to preserve the issue, and an appellate court will not typically reach that issue absent a valid exception to preservation."[97] Moreover, "when a party fails to raise and argue an issue on appeal, or raises it for the first time in a reply brief, that issue is waived and will typically not be

addressed by the appellate court."[98] While there are exceptions that will allow an appellate court to reach an issue that was not preserved at trial and was not raised on appeal, as shown below, none of those exceptions apply in this case.

In State v. Johnson, this Court outlined three instances when an appellate court "may reach an issue when the issue was not preserved, there is no valid exception to preservation, and it was not raised by the parties on appeal": the subject matter jurisdiction exception,[99] the statutory exception,[100] and the "pure law" exception.[101] As the subject matter jurisdiction exception and the statutory exception obviously do not apply

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[96] See supra notes 39–40 & 52–53 and surrounding text.

[97] Johnson, 2017 UT 76 at ¶ 15.

[98] Id. at ¶ 16.

[99] Id. at ¶ 50.

[100] Id. at ¶ 52.

[101] Id. at ¶ 51.

in this case, Holly will focus on the pure law exception.

> Under the pure law exception,
>
> an appellate court may reach a waived and unpreserved issue when it is 1) a purely legal issue, 2) that is almost certain to arise and assist in the analysis in other cases, 3) is necessary to correctly determine an issue that was properly raised, and 4) neither party is unfairly prejudiced by raising the issue at that point or neither party argues that they are unfairly prejudiced. Examples of this include whether to overrule precedent on which the parties rely, interpreting the law that the parties rely on, determining that a law is inapplicable, determining if a statute relied upon is still effective, and considering controlling authority that was not raised by either party.[102]

The issue of the proper interpretation of Subsection (4) fails to meet the third requirement of the pure law exception. The only issue that Ron raised that related to deceit was whether the trial court erred "in finding that Ron committed fraud by clear and convincing evidence" and whether the trial court made sufficient findings.[103] While the issue of whether Ron's deceit was contemptible as a matter of law under Subsection (4) would obviate the need to determine the issues of whether there was sufficient evidence

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[102] Id. (citations omitted).

[103] Br. Appellant at 2.

or sufficient findings, it cannot be said to be necessary to determine those issues.

Moreover, regardless of whether the Court of Appeals could have invoked the pure law exception to reach the issue of the interpretation of Subsection (4), it did not follow proper procedure in doing so. Before an appellate court avails itself of an exception to preservation and waiver and raises the issue sua sponte, it should "examine closely the appropriateness of acting despite the existence of waiver," including allowing the parties to argue whether the issue should be considered.[104] Moreover, the appellate court "should typically allow some form of argument from the parties to test a notion of the court's own invention before using it to justify a reversal."[105] This is ordinarily done by ordering supplemental briefing, as it "gives the parties adequate time to research and draft thoughtful responses."[106] In essence, what is required before an appellate court reaches an unpreserved and waived issue is notice and an opportunity to be heard.

In this case, despite the fact that Ron failed to preserve the issue of whether his fraud was contemptible deceit under Subsection (4) in the trial court and failed to raise the issue in his opening brief, the Court of Appeals considered the issue sua sponte without giving Holly meaningful notice of that decision or ordering supplemental briefing of the waived issue before issuing its opinion. As such, she did not have the opportunity to argue whether any of the exceptions to waiver applied, and the only opportunity she had to address the issue was at oral argument. Because Holly's counsel

[104] Id. at ¶ 44.

[105] Id. at ¶ 45.

[106] Id. at ¶ 45.

did not have any prior notice that the Court of Appeals would focus on the issue at oral argument (given the rules on waiver, the fact that the issue was raised for the first time in the reply brief was not adequate to provide notice), he had no ability to prepare and address the issue in advance of oral argument.[107] Also, there was nothing in the Court of Appeals' opinion that showed that it examined the appropriateness of reaching the waived issue.

Finally, Ron has previously argued that the Court of Appeals was justified in addressing the issue because it was raised by Holly in her brief.[108] While Ron cites Brown v. Glover[109] for the proposition that an issue is not waived if it is addressed in the opposing brief,[110] this misunderstands the scope of the holding in Brown. In Brown, this Court held that a new issue first raised by the appellee as alternate grounds for affirmance and responded to by the appellant in her reply brief was properly before the Court of Appeals.[111] Other jurisdictions have discussed the scope of this rule, holding that while issues that "relate to the basis of the district court's ruling" must be raised in the opening brief, "when an appellee raises in its answer brief an alternative ground for affirmance,

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[107] These facts make the Court of Appeals' observation in Paragraph 15 of its opinion that Holly provided it with no case "in which a court held a person in contempt for deceit that occurred outside of the presence of the court, was directed towards another party, and did not involve false sworn testimony or the filing of a falsified document" all the more frustrating.

[108] Resp. Cert. at 16 & 18.

[109] 2000 UT 89, 16 P.3d 540.

[110] Resp. Cert. at 18.

[111] Brown, 2000 UT 89 at ¶¶ 20–26.

the appellant is entitled to respond in its reply brief."[112] In this case, Ron did not argue in his opening brief that fraud was not a basis for contempt—rather, he only addressed whether the evidence supporting his deceit was sufficient for the district court to find fraud by

clear and convincing evidence.[113] In response, Holly cited to Subsection (4) in her brief by way of background and context, not as an alternate grounds for affirmance. Ron cannot take advantage of Holly's attempt to provide the Court of Appeals with relevant background to raise additional issues. Secondly, and just as importantly, this justification would not allow the Court of Appeals to reach the issue without relying upon an exception to waiver, as Ron did not preserve the issue below, and to the best of Holly's knowledge, there is no exception to preservation that applies.[114]

Under these circumstances, the Court of Appeals improperly reached the issue of the proper interpretation of Subsection (4). This Court should reverse the Court of Appeals' decision and remand to determine any properly raised outstanding issues in the original appeal.

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[112] United States v. Brown, 348 F.3d 1200, 1213 (10th Cir. 2003); see Newsome v. Bd. of Elections, 415 S.E.2d 201, 203–04 (N.C. App. 1992) (holding that an issue first raised in the opposing brief is a "new issue" that can be responded to in a reply brief when the issue does not arise naturally and logically from the record and question presented").

[113] See Pet. Cert. at 10, n.45 and surrounding text.

[114] Johnson, 2017 UT 76 at ¶ 47 ("When an issue has not been preserved in the trial court, but the parties argue that issue on appeal, the parties must argue an exception to preservation for the issue to be reached on its merits."); see id. at ¶¶ 18–39 (discussing the exceptions to preservation).

## CLAIM FOR ATTORNEY FEES

Finally, as noted above,[115] the district court awarded Holly her reasonable attorney fees on the basis that they would not have been incurred but for Ron's deceit.[116] Thus, Holly was entitled to her attorney fees under provisions of the Utah Code relating to contempt[117] and bad faith.[118] Moreover, Ron did not challenge the basis of this award in his Objection to Holly's Request for Attorney Fees before the district court,[119] nor did he raise the issue on appeal in his opening brief.[120] As such, there is no dispute that Holly was entitled to her attorney fees below, and she is

thus also entitled to her attorney fees reasonably incurred on appeal.121 This includes those attorney fees Holly incurred in the Court of Appeals, as while she was

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[115] It appears that, should this Court reverse the Court of Appeals, the case will return to the Court of Appeals for determination of the issues raised by Ron that were not reached in the previous decision. Holly is unsure whether a claim for attorney fees would be addressed by this Court given this procedural posture, but makes the claim out of an abundance of caution.

[116] See supra notes 48–51 and surrounding text.

[117] Utah Code § 78B-6-311(1) (allowing a court to "order the person proceeded against to pay the party aggrieved a sum of money sufficient to indemnify and satisfy the aggrieved party's costs and expenses"); see Iota LLC v. Davco Mgmt. Co., 2016 UT App 231, ¶ 60, 391 P.3d 239 (holding that "costs and expenses" include "the attorney fees the damaged party incurred").

[118] Utah Code § 78B-5-825(1) (providing for an award of reasonable attorney fees "if the court determines that the action or defense to the action was without merit and not brought or asserted in good faith").

[119] See R. at 1195–1201.

[120] Br. Appellant at 1–3 (outlining the issues raised on appeal).

unsuccessful at that stage in the proceeding, she will have been "ultimately vindicated" by prevailing on appeal before this Court.122

## CONCLUSION

For the foregoing reasons, Holly asks that this Court reverse the Court of Appeals' decision in this matter and remand to the Court of Appeals for further proceedings.

DATED this 28th day of August, 2019.

s/ Stephen D. Spencer
SPENCER LAW OFFICE, PLLC
**Attorney for Petitioner**

## CERTIFICATE OF COMPLIANCE

I certify that this brief complies with the Utah Rules of Appellate Procedure, including 24(g) and 21(g), and with the word limitation.

Word Limits: My brief has 8,148 words, which is less than the 14,000 word limit.

I understand that my brief may be rejected if I fail to comply with these rules.

s/ Stephen D. Spencer
SPENCER LAW OFFICE, PLLC
**Attorney for Petitioner**

## CERTIFICATE OF SERVICE

I hereby certify that I caused two copies of the foregoing PETITIONER'S OPENING BRIEF to be delivered via email to the Steven W. Beckstrom, SNOW CHRISTENSEN & MARTINEAU, swb@scmlaw.com, Attorney for Respondent Ronald Lee Rosser. DATED this 28th day of August, 2019.

s/ Stephen D. Spencer